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| | 2024-01396459 | Standing. Luqra challenges the second amended complaint (SAC) in its entirety on the ground that plaintiff TandP LLC lacks standing to bring any of its claims, arguing: "The SAC fails as a matter of law because TandP seeks to recover funds that, by its own allegations, were processed for and owed to nonparty third-party merchants[.] TandP, therefore, has incurred no damages, yet pleads damages allegedly belonging to others, not a legally cognizable injury of its own. [¶] ... [¶] Because TandP seeks to recover funds not owed to itself, but alleged to be owed to nonparty merchants, the SAC pleads an injury belonging to others and fails in its entirety for lack of standing." (Mtn. P&As at pp. 7-8.)<br><br>These contentions ignore the allegations of the SAC, which the court must take as true on a motion for judgment on the pleadings. (See *Sykora v. State Dept. of State Hospitals* (2014) 225 Cal.App.4th 1530, 1534.) The SAC alleges the existence of a contract and business relationship directly between plaintiff and defendants, by which plaintiff operated an e-wallet solution/program through plaintiff's platform/account with defendants. Specifically, the SAC alleges defendants agreed to process credit card transactions for plaintiff's e-wallet business, knowing plaintiff's business involved allowing plaintiff's third-party merchant customers to process credit card transactions through plaintiff's e-wallet platform/account with defendants, and that Luqra assured plaintiff that this payment processing arrangement was legitimate and stable. (See SAC ¶¶ 9-13, 16-18, 29, 36-39.) The SAC further alleges that shortly after defendants began processing payments for plaintiff's customers, defendants abruptly shut down plaintiff's e-wallet platform and terminated the parties' contract without proper notice based on a number of false assertions/accusations and improperly withheld $1,444,069.06 of plaintiff's funds without justification, which defendants have failed and refused to release to date. (See *id.* ¶¶ 14-17 ["Luqra's January 2024 *statement for TandP* showed an ending balance of $1,444,069.06"], 18 ["TandP has made numerous attempts to communicate with Luqra and Evolve regarding the status of *TandP's funds*"], 19-21 ["TandP expressed TandP's genuine concern that Luqra continues to hold $1,444,069.06 of *TandP's money*," which TandP "owes" (i.e., is in turn obligated to pay) "to TandP's third party merchants"], 22-24 [TandP reiterated its "grave concerns over Luqra's and Evolve's withholding of *TandP's funds*" and "Luqra ... improperly block[ing] TandP's ability even to log on and view *TandP's account*"], 27 ["To date, Luqra or Evolve |

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| | | continue to hold *TandP's funds* without any legal justification."], 28-39.)<br><br>As one of the parties to the contract and business relationship at issue, plaintiff has the standing to sue on the same. (See *Berclain America Latina v. Baan Co.* (1999) 74 Cal.App.4th 401, 405; see also *City of Brentwood v. Campbell* (2015) 237 Cal.App.4th 488, 504 [the real party in interest "is the person who possesses the right to sue under the substantive law involved"].) As the direct victim of Luqra's alleged wrongful conduct, plaintiff has the standing for the harm sustained as a result of that conduct. (See *Torres v. City of Yorba Linda* (1993) 13 Cal.App.4th 1035, 1041, 1046 [generally, plaintiffs have standing to sue if they have either suffered or are threatened with an injury of sufficient magnitude to reasonably assure the relevant facts and issues will be adequately presented, i.e., when they can show "a personal interest in the litigation's outcome"]; *Bilafer v. Bilafer* (2008) 161 Cal.App.4th 363, 370.) And the SAC alleges in no uncertain terms that it is plaintiff who has suffered that harm and resulting damages. (See, e.g., SAC ¶¶ 9-24, 27-39.) The mere fact that defendants' conduct has also exposed plaintiff to liability to plaintiff's customers does not somehow render defendants' obligations and liability to plaintiff obsolete, and Luqra has failed to cite to any authority suggesting otherwise.<br><br><u>1st, 3rd, & 4th causes of action for breach of contract, conversion, and unfair competition</u>. Contrary to Luqra's contentions, the SAC alleges that plaintiff has suffered damages, including the loss of money, as a result of defendant's conduct. (See SAC ¶¶ 9-24, 27-34, 46-51, 53; see also *Oasis West Realty, LLC v. Goldman* (2011) 51 Cal.4th 811, 821 [elements of breach of contract include, inter alia, damages]; *Voris v. Lampert* (2019) 7 Cal.5th 1141, 1150 [elements of conversion include, inter alia, damages]; Bus. & Prof. Code § 17204 [a private plaintiff has UCL standing only if it "has suffered injury in fact and has lost money or property"].)<br><br><u>2nd cause of action for fraud</u>. The SAC states facts sufficient to constitute the second cause of action for fraud. (See *Conroy v. Regents of University of California* (2009) 45 Cal.4th 1244, 1255 [elements]; see also SAC ¶¶ 9-10, 36-39 [misrepresentations of existing fact], 40-43.)<br><br><u>5th cause of action for civil conspiracy</u>. The SAC adequately alleges an underlying tort and the conspiracy to commit that |

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| | | tort. (See CACI No. 3600 [civil conspiracy elements]; *Mosier v. Southern California Physicians Insurance Exchange* (1998) 63 Cal.App.4th 1022, 1048; *Voris v. Lampert*, *supra*, 7 Cal.5th at p. 1150 [conversion is a tort]; see also SAC ¶¶ 13-20, 22-24, 26-27, 32, 45-51, 58, 59(g), 60-61.)<br><br>Request for judicial notice. Luqra's request for judicial notice is DENIED. Luqra relies on the subject discovery responses as evidence, rather than to contradict a material allegation of the SAC. (See, e.g., Mtn. Memo. P&As at pp. 7:23-25, 8:2-6, 8:9-10, 8:19-20, 9:12-13, 9:21-23.) Drawing factual inferences from discovery responses is not a proper use of judicial notice on a pleading challenge. (*Bounds v. Superior Court* (2014) 229 Cal.App.4th 468, 477-478 [denying request to take judicial notice of discovery responses]; *Williams v. Southern California Gas Co*. (2009) 176 Cal.App.4th 591, 599-600.) " '[T]he hearing on demurrer [or similar pleading challenge] may not be turned into a contested evidentiary hearing through the guise of having the court take judicial notice of ... such material" on the ground it "purports to contradict the allegations and contentions of the plaintiff.' [Citation.]" (*Bounds v. Superior Court,* at p. 477.)<br><br>Luqra shall give notice of this ruling. |
| 62. | Faiella v. City of Huntington Beach<br><br>2024-01434420 | Defendant City of Huntington Beach's motion for summary judgment as to the claims of Jennifer Dawn Faiella is DENIED.<br><br>City has met its initial burden of proof by producing sufficient evidence to establish that Faiella's action has no merit, that Faiella cannot prove an element or some elements of a cause of action, or that a complete defense is established as a matter of law entitling it to judgment. *C.C.P.* § 437c (p) (2), and *Hunter v. Pacific Mechanical Corp.* (1995) 37 Cal.App.4$^{th}$ 1282, 1287. However, Faiella has met her now shifted burden to produce evidence to show that a triable issue of fact, or issues of fact, exist. *C.C.P.* § 437c (p) (2), and *Green v. Ralee Engineering Co.* (1998) 19 Cal.4$^{th}$ 66, 72.<br><br>Specifically, there are triable issues of fact as to whether City had constructive notice of the alleged dangerous condition of the sidewalk. There are triable issues of fact as to UMF 4, 5 and Faiella's additional material facts 4, 7, 8, 9, 10, 11 and 13.<br><br>Faiella's objections asserted in the Separate Statement are OVERRULED. California Rules of Court, rule 3.1354 provides that all written objections to evidence must be served and filed separately from the other papers in support of or in |